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Justification and Approval (J&A) for Federal Acquisition Regulation (FAR) Subpart 6.3 Other Than Full and Open Competition

Title: PEO DHMS Enterprise Software Services

J&A Number: JA-25-0397B

Additional POCs:

1. Identification of the agency and contracting activity:

Defense Healthcare Management Systems Contracting Division

Defense Healthcare Management Systems Contracting Division plans to award a bridge contract for Enterprise Software Services (ESS).

2. Nature and/or Description of Action being Approved:

new contract

Individual

This Justification & Approval (J&A) supports the continued provision of ESS to the Program Executive Office for Defense Healthcare Management Systems (PEO DHMS) on a temporary basis, bridging the gap until a competitive follow-on contract can be procured.

The ESS contract provides a comprehensive suite of services to support the PEO DHMS program offices. Key components of this contract include:

- Management of Enterprise Service Platform (ESP) a fully automated Development, Security, and Operations (DevSecOps) platform, supporting Agile development and the DoD DevSecOps initiative.
- Operation and maintenance of the Medical Enterprise Test Innovation Center (METIC), a government-approved laboratory.
- Management of the Test Infrastructure (TI) management services.
- Provision of Software as a Service (SaaS) to support PEO DHMS critical mission requirements.

These services are crucial to PEO DHMS program offices, supporting the development, testing, and deployment of software applications and medical devices. This action establishes a \$31M contract to maintain PEO DHMS' readiness posture and provide development testing and other support services for its portfolio software, including:

MHS GENESIS

JOMIS products:

- OMDS = Operational Medicine Data Service
- MedCop = Medical Common Operating Picture
- BATDOK = Battlefield Assisted Trauma Distributed Observation
- CDP= (Operational Medicine) Care Delivery Platform
- Theater Blood, the Theater Medical Information Program-Joint

EIDS products:

- DES= Data Exchange Services
- JNLV = Joint Longitudinal Viewer (and that's also driven in part by FEHRM)

3. Description of Supplies/ Services:

ESS is essential to maintaining PEO DHMS' current readiness posture and supporting the ongoing development, testing, and deployment of software applications critical to its mission. ESS provides comprehensive services designed to ensure operational continuity, technological advancement, and readiness across PEO DHMS and its subordinate program offices. These services include:

- Establishing and maintaining a test lab for in-person testing activities, such as operational assessments and operational tests, required by PEO DHMS and its subordinate program offices.
- Sustaining, maintaining, and supporting the existing DHMS TI.
- Maintaining and sustaining an enterprise software development environment aligned with PEO DHMS' strategic goals.
- Enabling a Continuous Integration/Continuous Delivery (CI/CD) pipeline to produce containerized and non-containerized software products deployable to production environments or local systems.
- Ensuring DHMS development partners have access to the software tools necessary to conduct development and testing tasks effectively.

The ESS encompasses four integrated functional areas, which collectively improve PEO DHMS software development lifecycle efficiency and readiness to support a ready medical force and a medically ready force. These functional areas are summarized below:

1. The Medical Enterprise Test Innovation Center

METIC provides mission-critical support for this shared, Government-approved laboratory, ensuring its secure, flexible, and continuous operation. This user-agnostic resource delivers essential operational management services, including hosting applications and services critical to PEO DHMS, its Program Management Offices (PMOs), and the broader Military and Federal Health Communities.

Located in the Washington, D.C., metropolitan area, METIC is equipped to support a wide range of activities, including test events for medical devices used in hospitals and operational medicine software for theater operations. It offers a reconfigurable test area, conference rooms, and collaboration spaces, with secure connectivity to external data sources hosted by the Department of Defense (DoD), Veterans Affairs (VA), and commercial entities.

METIC's comprehensive managed services include access management, cybersecurity, asset management, system administration, test equipment calibration, and service desk support. This requirement also encompasses operations and maintenance support for the DHMS Data Center (DDC), along with coordination with TI staff to provision and configure virtualized capabilities and management software.

2. Private Cloud Distinct Enclaves

PEO DHMS maintains a private cloud development and testing infrastructure to support the transition to MHS GENESIS and facilitate seamless interoperability testing between the DoD and VA. The Infrastructure as a Service (IaaS) approach provides a scalable, virtualized environment compliant with DoD cybersecurity requirements, ensuring support for PEO DHMS stakeholders.

Key IaaS services include:

- Network management, service desk management, and cybersecurity services.
- Hosting legacy healthcare systems and technical solutions for development, testing, and product integration.
- Support for TI, which mimics production-like legacy environments for development and testing purposes.

The TI is hosted in two distinct enclaves:

- **TI.COM:** Offers full development flexibility and internet access.
- **TI.MIL:** A production-representative environment with Zone-B authority to operate accreditation, supporting interoperability with DHA's Medical Community of Interest over Non-classified Internet Protocol Router Network.

These environments enable testing and integration with healthcare systems across the DoD, (VA), and commercial partners.

3. Enterprise Service Platform

PEO DHMS has developed the ESP, a fully automated DevSecOps platform. ESP provides multiple CI/CD pipelines to accelerate the development and deployment of containerized and legacy applications within an Agile framework. It integrates Department of Defense Security Technical Implementation Guide requirements to ensure data confidentiality, integrity, and availability.

This Platform as a Service (PaaS) approach supports PEO DHMS objectives by:

- Enabling Agile software development across the enterprise.
- Allowing contractors to focus on development rather than infrastructure management.
- Facilitating an Agile contracting model.
- Driving adoption of the DoD DevSecOps initiative to accelerate capability delivery to warfighters.

Additionally, PaaS reduces barriers to entry for small and disadvantaged businesses, fostering innovation and broadening participation within the ecosystem.

4. Tailored Cloud-Based Software Solutions

PEO DHMS provides cloud-based software solutions tailored to meet individual user needs. Using a SaaS approach extends the capabilities of ESS by offering a la carte access to software tools decoupled from PaaS solutions. For instance, users can access specific tools like Jira within the CI/CD pipeline without requiring additional PaaS functionalities. SaaS leverages the IaaS and PaaS frameworks to enhance service delivery, extend ESS capabilities, and better support PEO DHMS and its PMOs.

<u>TOTAL Contract Value</u> POP: From 3/27/2025 to 8/26/2026 Estimated Value [REDACTED]	<u>BASE</u> POP: From 3/27/2025 to 12/26/2025 Estimated Value [REDACTED]
Type of Contract (Primary): FAR 16.306 Cost-Plus-Fixed-Fee	<u>Options:</u> Yes Number of Options: 2 POP (All options): From 12/27/2025 to 8/26/2026 Estimated Value (all options): [REDACTED]
Funding Type: Operations & Maintenance (O&M)	<u>Extension of Services:</u> No Clause: Estimated Value: Number of Months:

4. Statutory and Regulatory Authority Permitting Other Than Full and Open Competition (see FAR 6.302), or the Specification of the Statutory and Regulatory Provision Providing Exception to 8(a) Program Competitive Requirements (see FAR 19.805-1):

10 U.S.C. 2304(c)(1) 6.302-1 – Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements

10 U.S.C 3201(a)(1) Only one responsible source and no other supplies or services will satisfy agency requirements.

5. Rationale Justifying Use of the Statutory Authority Cited:

The current ESS contract with American System Corporation (ASC) expires March 26, 2025.

This bridge action extends the current ASC contract to allow for the continued provision of ESS to the PEO DHMS programs in the same manner as they are currently being delivered. This continuity is critical because PEO DHMS relies heavily on the expertise and familiarity of ASC to ensure seamless support for its programs. The nature of these services involves high levels of technical specialization, proprietary system knowledge, and integration with critical PEO DHMS operations. Transitioning a new contractor would interfere with the Government's ability to successfully conduct operational testing because it would cause unacceptable delays as well as introduce variables that would interfere with reliable test results.

Under FAR 6.302-1, this justification for other than full and open competition is warranted because the required services are only available from the current source, and no alternative service provider would satisfy the agency's needs within the necessary timeframe without significant delays or disruptions to PEO DHMS operations. The Joint Operational Management Information System (JOMIS) and DoD Healthcare Management System Modernization (DHMSM) program offices have testing schedules that were not finalized at the time of the ESS award. Once preparation and/or testing commences, it is crucial that the Government maintain a consistent test environment to ensure the integrity and reliability of the test results, as any changes, including a contractor change, could compromise their validity.

Critical METIC Events:

The JOMIS program depends on the continuation of ESS services, including the METIC, to stay on schedule as it relates to their Operational Assessment (OA) and Operational Test (OT) events. Specifically, the success of such events are dependent on the availability of resources at the METIC. The OA is a thorough evaluation of the JOMIS system's performance in a realistic and operationally relevant environment. The assessment focuses on the system's ability to support joint military operations, including its functionality, usability, and interoperability with other systems. The OT is a more comprehensive evaluation of the JOMIS system's performance in a realistic and operationally relevant environment. The testing focuses on the system's ability to support joint military operations, including its functionality, usability, and interoperability with other systems, as well as its ability to withstand various operational stresses and scenarios. Any disruption, including a change in service providers, during the critical operational preparation and testing period would jeopardize the success of the testing and the overall operational effectiveness of the JOMIS applications. The known OA / OTs within the timeframe of the bridge include: Battlefield Assisted Trauma Distributed Observation Kit-Joint (BATDOK-J), Operational Medicine Capability Development Plan (OpMed CDP), Military Health System Genesis-Transition (MHS G-T).

During the operational testing of JOMIS-managed applications, it is crucial that the testing environment remains stable and consistent to guarantee the application's operational effectiveness, suitability, and survivability. Introducing a contractor change at this critical juncture would introduce a change to the testing environment, which would jeopardize the validity and reliability of the operational testing and preparation. This, in turn, would not only disrupt the carefully planned testing schedule but also elevate the risk of errors, inconsistencies, and disruptions, ultimately threatening the success of JOMIS. Furthermore, introducing a new contractor would require a significant amount of time to familiarize themselves with the JOMIS system, its configuration, and the testing environment. This additional time requirement would further exacerbate the disruption to the testing schedule, increasing the likelihood of delays and complications. Maintaining a stable testing environment is essential to ensure the integrity of the testing process and to mitigate potential risks, making it imperative to avoid any changes that could compromise the testing environment during this critical phase.

A lapse in services would result in delays of at least 60–90 days for JOMIS OA and follow-on OT milestones, jeopardizing compliance with Department of Defense directives for medical readiness. Service disruptions would directly impact operational testing timelines, delaying deployment of mission-critical applications and increasing operational risks. These delays could lead to increased costs, operational inefficiencies, and potential legal risks for failing to meet established deadlines.

The following major events are scheduled to take place during the bridge period of performance and justify the bridge period of performance:

Scheduled to occur during March – October timeframe:

- 1-DoD workflow Review and update
- Digital First Integrated Automated Care & Enterprise Rollout
- Radimetrics Dose Monitor Server (Signal Sign-On Finalization)
- Pyxis Enterprise Server Upgrade

Regular/ongoing JOMIS test activities that would be impacted through October 2025 include:

- Legacy JOMIS (TMIP-J)
- BATDOK-J (beyond OA/OT)
- OpMed CDP (beyond OA/OT)
- MHS G-T (beyond OA/OT)
- Theatre Battle Laboratory-Management and its interfaces, including but not limited to Developmental Test and Evaluation (DT&E), as well as vendor and engineering efforts, and even the Chief Health Information Officer (CHIO) test efforts, are all relevant since we continually conduct on-site testing at METIC
- Test Common Access Card, peripherals and devices (mobile devices, printers, scanners, etc.) are all housed at the METIC.
- Retest of resolved incident reports from Human Centered Design (HCD) OA in support of upcoming HCD OT

DHSM test activities that would be impacted through October 2025 include:

- Digital First Care Companion
- Regression testing to occur at the METIC during Cube Block #13 Test Window – June/July/August 2025
- Lifetime Prescription Encounter (Release 2)
- Out Patient Pharm Billing
- 1DOD Workforce Updates
- Capability Block 13
- September Cube

Technical Risks that justify the bridge to ASC:

System Configuration Drift: The OA environment is a complex system with multiple components, including hardware, software, and network configurations, which are interconnected via Application Programming Interfaces, microservices, and data pipelines. Changing contractors or modifying the environment can introduce configuration drift, which can affect the system's performance and behavior, potentially leading to issues with data serialization, deserialization, and schema validation. Furthermore, this can also impact the system's ability to maintain a consistent state, potentially resulting in inconsistencies in the system's configuration management database. Configuration drift would impact devices and software currently managed by ASC, further impacting ongoing prep and test events at the METIC.

System Integration Testing (SIT): The International Software Testing Qualifications Board guidelines stress that maintaining a stable test environment is critical during high-stakes events, and any change introduces risk. Programs have stressed the need for a stable environment at the METIC to accurately conduct SIT in preparation for OA events. If a transition to a new contractor occurred while a SIT event is happening in the METIC, it would stand to degrade the ability of the SIT to execute its prep and pull resources away from ASC's current responsibilities in operating the METIC.

Data Integrity and Consistency: The OA environment relies on a specific set of test data and scenarios to exercise the system's functionality, which are typically stored in a relational database management system or a Not Only Structured Query Language database, such as a graph database or a document-oriented database. Changing contractors or modifying the environment (which occurs with a change in contractors) can introduce new variables that affect data integrity, such as changes to data formats, data validation rules, or data sources, potentially leading to issues with data quality, data governance, and data lineage. This can also impact the system's ability to maintain data consistency, potentially resulting in data inconsistencies, data anomalies, or data corruption.

Network and System Interactions: The OA environment involves interactions with other systems, services, or applications, which are typically facilitated via Representational State of Resourceful APIs, message queues, or event-driven architectures. Changing contractors or modifying the environment (which occurs with a change in contractors) can affect these interactions, potentially introducing new variables that impact the system's behavior and performance, such as changes to network protocols, network topology, or network latency. This can also impact the system's ability to maintain a consistent and reliable communication channel, potentially resulting in issues with service discovery, service registration, or service monitoring.

Test Tooling and Automation: The OA environment relies on specialized test tooling and automation, such as CI/CD pipelines, automated testing frameworks, or test orchestration tools, to execute test cases and scenarios. Changing contractors or modifying the environment can introduce new variables that affect the test tooling and automation, potentially impacting the accuracy and reliability of the test results, such as changes to test data, test scripts, or test environments. This can also impact the system's ability to maintain a consistent and reliable testing process, potentially resulting in issues with test coverage, test effectiveness, or test efficiency.

Vendor switching more generally (i.e., not just re: environmental management) during a critical event disrupts business continuity and degrades quality of output (Journal of Systems and Software, 2020).

Potential Consequences:

Invalid Test Results: Changes to the OA environment can introduce variables that affect the test results, making them invalid or unreliable, potentially leading to incorrect conclusions about the system's performance and readiness for operational use. This can also impact the system's ability to maintain a consistent and reliable testing process, potentially resulting in issues with test validation, test verification, or test certification.

Re-Testing and Re-Validation: If the OA environment is changed, it may be necessary to re-test and re-validate the system, which can be time-consuming and costly, potentially leading to delays in the system's deployment and impacting the overall project schedule. This can also impact the system's ability to maintain a consistent and reliable testing process, potentially resulting in issues with test planning, test execution, or test reporting.

System Performance Issues: Changes to the OA environment can introduce variables that affect the system's performance, potentially leading to issues such as decreased system availability, increased error rates, or decreased system responsiveness, which can impact the system's ability to maintain a consistent and reliable performance, potentially resulting in issues with system monitoring, system logging, or system alerting.

Security and Compliance Risks: Changes to the OA environment can introduce security and compliance risks, such as changes to access controls, data encryption, or audit logging, which can impact the system's security posture and compliance with regulatory requirements, potentially leading to issues with data breaches, data losses, or data corruption.

6. Efforts to Obtain Competition:

Two market research efforts were undertaken to identify potential sources capable of fulfilling the requirements for the ESS contract:

1. **Notice of Intent (NOI):** A Notice of Intent was issued on December 3, 2024, via SAM.gov to announce the government's intent to pursue a follow-on contract, ESS Next. Response to the NOI was limited, with only one vendor submitting a question and no vendors providing capabilities statements.
2. **Request for Information (RFI):** A Request for Information (RFI) was posted on SAM.gov (<https://sam.gov/opp/4bbbcab9a1b64043a47c04f95e6f2164/review>) on February 11, 2025, seeking information from qualified vendors regarding their capabilities to provide the required ESS.
3. The RFI, which closed on February 14, 2025, specifically sought information on vendors' experience providing similar services and their ability to execute a zero-transition plan to ensure uninterrupted service. Four vendors responded to the RFI; however, none could meet the requirement for a seamless transition of services without any disruption to ongoing operations. Specifically, are unable to meet the stringent requirement of assuming responsibility for the within the required timeframe to prevent service interruption,

Conclusion:

Despite these efforts to identify competitive sources, no viable alternative vendors were identified that could meet the specific requirements of the project, particularly the critical need for a seamless transition of services without any disruption to ongoing operations.

7. Determination that Anticipated Cost to the Government will be Fair and Reasonable:

The Government anticipates the price for the services to be acquired under this contract will remain fair and reasonable. Market conditions indicate that the labor market has not experienced significant changes since the previous contract award, aside from standard inflationary adjustments. As such, the rates established under the existing ESS contract are expected to form the baseline for this effort, ensuring continuity in pricing while maintaining cost reasonableness.

The Government's reliance on the current contract prices as a basis for determining cost fairness and reasonableness is consistent with FAR 15.404-1(b)(2), which authorizes the use of prices paid for similar items or services under existing contracts as a basis for evaluating price reasonableness. Reliance on the current contract pricing as a benchmark reflects sound procurement practices and ensures that the cost to the Government remains justified and defensible.

Additionally, the proposed bridge contract includes provisions for monitoring and validating cost performance throughout its duration, further ensuring that rates remain equitable and aligned with market conditions. By leveraging the pricing structure of the existing contract, the Government minimizes the risk of overpayment while maintaining uninterrupted access to critical services necessary for mission success.

8. Market Research:

Market Research Conducted? ☒ Yes

When was it conducted? 5/1/2024 to 9/30/2024

Description:

To inform the development of ESS Next, PEO DHMS conducted extensive market research to identify potential sources and shape the acquisition strategy. This research highlighted the necessity of a comprehensive future-state architecture for METIC and DDC, emphasizing a hybrid model for modernized, scalable, and efficient service delivery. The research encompassed the following:

- **Expert Interviews (May 2024):** PEO DHMS conducted four expert interviews with subject matter experts from leading healthcare organizations and technology companies experienced in large-scale digital transformations. Key findings reinforced the need for a hybrid-cloud approach, robust governance, and a managed service delivery model for successful cloud adoption.
- **Site Visits (June 2024 – September 2024):** PEO DHMS conducted two site visits to Massachusetts General Hospital and Sentara Healthcare to learn best practices from organizations undergoing similar digital transformations and cloud migrations. These visits highlighted the importance of service standardization, dynamic scalability, and cross-functional stakeholder engagement.
- **Request for Information (RFI) (February 11-14, 2025):** To further assess market capabilities, PEO DHMS issued an RFI seeking information from qualified vendors regarding their experience providing similar services and, critically, their ability to execute a zero-transition plan to ensure uninterrupted service. Four vendors responded to the RFI. However, none of the respondents could demonstrate the capability to assume responsibility for the following within the required timeframe to prevent service interruption:
 - **Management of the Enterprise Service Platform (ESP):** A fully automated DevSecOps platform supporting Agile development and the DoD DevSecOps initiative.
 - **Operation and Maintenance of the Medical Enterprise Test Innovation Center (METIC):** A government-approved laboratory.
 - **Management of Test Infrastructure (TI) services.**
 - **Provision of Software as a Service (SaaS) to support PEO DHMS critical mission requirements.**

Conclusion:

These market research efforts revealed a critical gap between industry capabilities and the specific requirements of the ESS bridge contract. While the long-term goal is to transition to the ESS Next contract through full and open competition, the immediate need to maintain continuity of operations necessitates a sole-source award to American Systems Corporation to prevent any disruption to critical services. The findings from the RFI, particularly the inability of respondents to immediately take on these four critical areas, demonstrate that no other vendor can currently fulfill this need.

9. Other Facts:

ESS Next (Follow-on Contract):

PEO DHMS is actively developing a follow-on contract to replace the existing ESS with a more advanced, agile, and scalable solution. This follow-on effort is a key component of PEO DHMS' strategic vision to modernize its enterprise architecture, ensuring that it meets evolving mission requirements while improving cost-efficiency, security, and operational effectiveness. The development of this contract is inherently complex, requiring detailed market research, rigorous requirements definition, and a competitive procurement process aligned with FAR Part 15 standards.

To lay the groundwork for the overall modernization effort, PEO DHMS has conducted market research and stakeholder engagement to evaluate current systems and identify critical gaps. As outlined in Section 8, this research has confirmed that transitioning to a future-state architecture is a multifaceted process requiring substantial time and resources. The updated architecture will focus on the Medical Enterprise Test Innovation Center METIC and the DDC, both of which are foundational to PEO DHMS' ability to deliver mission-critical services.

The future-state architecture is designed to address limitations of the existing on-premise infrastructure and enable a transition to a hybrid cloud-hosted environment. This strategic shift is essential to:

- **Reduce Operational Costs:** Avoiding expenses associated with underutilized, static infrastructure through scalable, cloud-based resource allocation.
- **Enhance Responsiveness and Scalability:** Enabling dynamic resource provisioning to handle peak demands while optimizing costs during low-demand periods.
- **Ensure Robust Security Compliance:** Aligning with DoD cybersecurity mandates through advanced, automated compliance features inherent in cloud-based systems.
- **Streamline Operations through Automation:** Achieving efficiency gains by automating provisioning, deployment, and maintenance tasks across the enterprise.

The limitations of the current infrastructure—including its lack of flexibility and high operational costs—are significant risks to PEO DHMS' mission readiness. The transition to a hybrid cloud-hosted environment mitigates these risks and positions PEO DHMS to deliver services more effectively.

PEO DHMS has set a detailed timeline to complete the competitive procurement process for the follow-on contract, known as ESS Next:

- June 2025: Release of the solicitation, including comprehensive performance-based requirements and evaluation criteria,
- July/August 2025: Proposal submission and evaluation, during which vendors will be assessed for their ability to meet detailed requirements,
- December 2025: Award of the ESS Next contract and notification of the selected vendor.

The expiration of the current ESS contract in March 2025 leaves a nine-month gap before the anticipated start of ESS Next in December 2025. A bridge contract is essential to maintain service continuity during this transition period. Without this interim solution, PEO DHMS faces:

1. Service Disruption Risks: A lapse in critical services would jeopardize mission-critical testing, development, and operational support activities, directly impacting warfighter readiness.
2. Regulatory and Congressional Accountability Risks: A break in services would require reporting program delays or failures to Congress, damaging PEO DHMS' credibility and exposing the agency to heightened oversight.
3. Delays to Modernization Efforts: Interruptions would delay the planned transition to a hybrid cloud-hosted environment, increasing costs and undermining the strategic roadmap.

Options to Address Transition Risks:

The bridge contract includes two (2) four-month option periods to address potential transition risks:

1. Transition-Out Period (Option 1):
 - o Designed to facilitate a smooth handoff if the incumbent contractor does not secure the follow-on contract.
 - o Activities include system access transfer, knowledge transfer, resolution of outstanding issues, and onboarding of incoming personnel.
 - o Ensures uninterrupted operations and safeguards against the loss of institutional knowledge.
2. Contingency Period (Option 2):
 - o Provides flexibility to address unforeseen delays, such as protests or administrative challenges, in the ESS Next procurement timeline.
 - o Ensures service continuity even in the face of unexpected setbacks.

These option periods provide essential safeguards, minimizing risks and ensuring that PEO DHMS remains operationally ready to support its mission.

Service Disruption:

If the bridge contract is not awarded, the resulting service interruptions would have severe operational, financial, and reputational consequences. Such disruptions would compromise the health and well-being of service members, veterans, and their families by delaying or degrading access to critical healthcare services. Additionally, PEO DHMS' ability to fulfill its mandate of providing reliable, efficient healthcare systems would be significantly undermined, exposing the organization to heightened scrutiny and potential Congressional inquiries regarding program delays or failures.

10. Interested Sources:

Two market research efforts were undertaken to identify potential sources capable of fulfilling the requirements for the ESS contract:

- **Notice of Intent (NOI):** A Notice of Intent was issued on December 3, 2024, via SAM.gov to announce the government's intent to pursue a follow-on contract, ESS Next. The response to the NOI was limited, with only one vendor submitting a question and no vendors providing capabilities statements.
- **Request for Information (RFI):** A Request for Information (RFI) was posted on SAM.gov (insert hyperlink here) on February 11, 2025, seeking information from qualified vendors regarding their capabilities to provide the required ESS. The RFI closed on February 14, 2025, and specifically sought information on vendors' experience providing similar services and their ability to execute a zero-transition plan to ensure uninterrupted service. Four vendors responded to the RFI.

While four vendors expressed interest through the RFI process, none could meet the requirement for a seamless transition of services without any disruption to ongoing operations. Specifically, none were able to demonstrate the ability to assume responsibility for management of ESP a fully automated DevSecOps platform within the required timeframe to prevent service interruption.

11. Actions to overcome barriers:

PEO DHMS is actively establishing a follow-on contract, anticipated to be competitively awarded. The current period of performance is strategically designed to ensure a seamless transition to the new contract. This timeframe accommodates critical steps such as requirement validation, acquisition strategy development, source selection, and vendor platform setup and service transition. The agency anticipates future acquisitions of these services to be competitively procured, eliminating the need for future sole-source justifications.

While the Government expects this to be a one-time exception to competitive procurement, a complex transition option may be necessary in the event of unforeseen and uncontrollable delays in the competitive award process. This option would ensure continuity of vital services while navigating complexities that could extend the transition timeline beyond the initial period of performance. This proactive approach prioritizes uninterrupted support for PEO DHMS's essential mission.

Coordination & Approval

12. Technical/Functional Representative:

I certify that the information provided in this justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]

Title: Chief Technology Officer

Approved: [REDACTED]

Comments: Concur. I have thoroughly reviewed the J&A document for the bridge contract supporting the Enterprise Software Services (ESS) program. The uninterrupted delivery of these services is critical to maintaining PEO DHMS's operational readiness and ensuring the continued execution of mission-critical programs. Any lapse in service would pose unacceptable risks to testing schedules, development timelines, and overall program continuity. This bridge contract is an essential interim measure to safeguard ongoing operations and facilitate a smooth transition to the ESS Next competitive contract. I strongly concur with the justification and approve this action as necessary to uphold mission priorities.

13. Requirements Certification:

I certify that the information provided in this justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]

Title:

PEO Defense Healthcare Management Systems (DHMS)

J-Directorate Office:

Approved: [REDACTED]

Comments:

14. Fair and Reasonable Cost Determination:

The basis for fair and reasonable price was estimated using current contractual prices from HT003823C0003 plus a bridge premium. The premium is based on a Government Accountability Office report based on bridge contracts. Certified cost and pricing is not required, the exception at FAR 15.403-1(b)(3) applies.

I have determined that the anticipated cost to the Government for this contract action is fair and reasonable.

Name: [REDACTED]

Title: Contracting Officer, Defense Healthcare Management Systems Contracting Division

Approved: [REDACTED]

Comments:

15. Legal Review:

I have reviewed this justification and have found it to be legally sufficient.

Name: [REDACTED]

Title:

Office of General Counsel

Approved: [REDACTED]

Comments:

16. Contracting Officer:

I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name:

Title: Contracting Officer, Defense Healthcare Management Systems Contracting Division

Approved:

Comments:

17. Competition Advocate: Based on the foregoing justification, I hereby approve the procurement of **PEO DHMS Enterprise Software Services** on an other than full and open competition basis pursuant to the authority of **10 U.S.C. 2304(c)(1) 6.302-1 -- Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements**, subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for acquisition.

Approved:

Comments:

18. Head of Contracting Activity (or designee): Based on the foregoing justification, I hereby approve the procurement of **PEO DHMS Enterprise Software Services** on an other than full and open competition basis pursuant to the authority of **10 U.S.C. 2304(c)(1) 6.302-1 -- Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements**, subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for acquisition.

Approved:

Comments:

19. Director of Defense Health Agency, Senior Procurement Executive: Based on the foregoing justification, I hereby approve the procurement of **PEO DHMS Enterprise Software Services** on an other than full and open competition basis pursuant to the authority of **10 U.S.C. 2304(c)(1) 6.302-1 -- Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements**, subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for acquisition.

Approved:

Comments:

Attachments

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